

Value Development Standard (VDS)

Value Development Standard (VDS)

Architecture Ecosystem: Structured Reality Standards™
Architecture Family: VFM® — Value Flow Mechanisms Architecture
Parent Standard: Value Development Standard (VDS)
Operational Layer: Value Development Governance Layer
Category: Governance & Enforcement
Subcategory: Value Lifecycle Governance
Type: Parent Standard
Governed Space: Value Development
Origin ID: VFM-VDS-007
Version: 1.0
Status: Canonical · Open Standard
Effective Date: 26 August 2026
Compatibility: OOF® Methodology OS™ · GOA™ · ORA™ · VALIDOS® · INTEGROS® · ADIT® · AGA™ · OBIDENTITY®
AI-Readable: Yes
Authority: OOF®
Protection: MIP® — Methodology Intellectual Property Protection
Canonical Language: UCL — Universal Canonical Language

Canonical Definition

Value Development Standard (VDS) is the Parent Standard within VFM® — Value Flow Mechanisms Architecture that governs how existing value develops positively over time through identifiable growth, maturation, compounding, strengthening, capability expansion, productive improvement, or other forms of governed positive development.

VDS establishes the methodological distinction between the initial emergence of value and the subsequent development of value that already exists.

The Standard governs whether positive development has occurred, what developmental form that development takes, how value grows or matures, whether multiple developments compound upon one another, and how the resulting development history remains identifiable across the value lifecycle.

VDS does not assume that every increase in price, quantity, scale, output, capability, or activity represents genuine Value Development.

Development must remain connected to the governed Value Context and to an identifiable existing value basis.

Its foundational distinction is:

Creation of Value ≠ Development of Existing Value.

Core Question

How does existing value increase, strengthen, mature, compound, or otherwise develop over time?

Architectural Position

VDS occupies the seventh governed space within VFM®.

It follows:

Value Change Standard (VCS)

and precedes:

Value Degradation Standard (VDGS).

The preceding VFM® lifecycle establishes:

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change

VDS then governs a specific directional condition of the lifecycle:

positive development of value that already exists.

The architecture therefore progresses:

Value exists → Value has a governed state → Value changes → Positive development becomes identifiable → Value grows, matures, compounds, or otherwise strengthens.

Governance Flow Position

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change → Value Development → Value Degradation → Subsequent Value Lifecycle Governance

Within this flow, VDS governs:

Existing Governed Value → Positive Development → Developed Value

It does not govern the original creation of value.

Operational Space

VDS governs the operational space between:

existing value

and

a materially developed condition of that value.

This space includes:

identification of Value Development; differentiation between development and ordinary fluctuation; growth of existing value; strengthening of value-bearing capability; maturation of existing value; development of productive capacity; accumulation of developmental effects; compounding of value; development across time; development across multiple dimensions; development continuity; developmental reversibility; development interruption; development dependency; development attribution where relevant; development history; development recording.

Operational Scope

VDS may apply to existing value associated with:

physical assets; financial assets; enterprises; technologies; intellectual property; infrastructure; industrial capability; production systems; digital assets; blockchain ecosystems; AI systems; computational systems; organizational

capability; human-created productive structures; data assets; scientific capability; energy systems; networks; platforms; portfolios; mission systems; public infrastructure; other governable value-bearing objects or contexts.

The Standard remains value-form neutral.

It governs the development mechanism of existing value, not one specific valuation methodology.

Value Emergence ≠ Value Development

VDS establishes a critical lifecycle boundary.

Value Emergence governs:

Potential Value → Existing Value

Value Development governs:

Existing Value → More Developed Existing Value

Therefore:

Value Emergence ≠ Value Development.

A technology acquiring its first usable economic or operational value represents a different lifecycle event from that technology subsequently increasing its capability, adoption, productive usefulness, resilience, or economic contribution.

The first concerns emergence.

The second may concern development.

Value Change ≠ Value Development

Every Value Development implies that some aspect of value has changed.

But not every Value Change represents development.

Value Change may include:

increase; decrease; impairment; recovery; conversion; deterioration; appreciation; depreciation; partial loss; other material changes.

VDS governs the subset of change representing positive developmental progression of existing value.

Therefore:

Value Change is broader than Value Development.

Increase ≠ Development

A numerical increase alone does not establish Value Development.

For example:

Market Price: +20%

may represent a Value Change.

It does not automatically establish that the underlying value-bearing object has developed.

Development may require evidence of:

increased productive capability; improved utility; maturation; stronger operational performance;

expanded functionality; increased resilience; accumulated productive capacity; compounding; another contextually legitimate developmental condition.

VDS therefore prevents:

higher number

from automatically becoming:

more developed value.

Value Development Identification

Before development can be governed, the organization must determine whether a positive developmental process actually exists.

Identification should establish:

what existing value is developing,

from what prior governed state,

within what Value Context,

through what observable development,

and

over what period.

Development identification should remain distinguishable from determination of its exact economic or monetary value.

Value Growth

Growth represents one possible form of Value Development.

Growth may involve an increase in:

productive capability; economic contribution; operational utility; capacity; scale; usable output; performance; network utility; knowledge utility; strategic capability; other contextually governed value dimensions.

Growth must be interpreted relative to the defined Value Context.

The same change may represent growth for one beneficiary and no material development for another.

Value Maturation

Value may develop without simply becoming larger.

An asset, capability, technology, organization, network, or system may become more valuable because it becomes:

more stable; more reliable; more usable; more proven; more efficient; more interoperable; more resilient; more operationally capable; less dependent upon immature conditions; more capable of sustained productive use.

VDS recognizes this as Value Maturation.

Therefore:

Development $\neq$ Growth Alone.

Value Compounding

Existing value may generate conditions that enable further value development.

This creates a compounding relationship.

A simplified developmental chain may be:

Existing Value A → Development 1 → Value State B → Development 2 enabled by State B → Value State C → Further Development → Compounded Value Development

Compounding may occur through:

reinvestment; network effects; accumulated capability; knowledge accumulation; infrastructure reuse; technological improvement; productivity improvement; operational learning; scale effects; interoperability; ecosystem expansion; other recursive developmental mechanisms.

VDS governs the value-development relationship.

It does not automatically govern the external mechanism producing that relationship.

Linear Development ≠ Compounded Development

A sequence of increases does not automatically establish compounding.

Compounding requires a meaningful relationship in which earlier development contributes to the basis upon which later development occurs.

Therefore:

Repeated Growth ≠ Compounding

unless the relevant developmental dependency exists.

Development Across Multiple Dimensions

Value may develop across more than one dimension simultaneously.

For example, an industrial technology may experience:

Productivity Development

Reliability Development

Energy-Efficiency Development

Market-Utility Development

Operational Maturity Development

These dimensions should not automatically be collapsed into one universal development score.

A multi-dimensional Value Development model may preserve them separately where they carry materially different meaning.

Development Baseline

Development requires a reference basis.

A governed development determination should identify the relevant baseline.

The baseline may be:

prior Value State; defined historical state; previous capability level; prior productive capacity; earlier maturity state; governed reference period; another legitimate contextual reference.

Without a baseline, statements such as:

“Value has developed significantly.”

may be impossible to interpret consistently.

Development Magnitude

Where materially relevant, Value Development may be expressed through a developmental magnitude.

Magnitude may be:

monetary; proportional; quantitative; qualitative; capability-based; performance-based; maturity-based; productivity-based; multi-dimensional.

VDS does not require every development to be monetized.

A material increase in strategic, scientific, technological, operational, or mission capability may constitute Value Development even where no legitimate monetary valuation exists.

Development Rate

VDS may distinguish between:

Development Magnitude

and

Development Rate.

For example:

+30% capability development over five years

and

+30% capability development over six months

represent different developmental dynamics.

Development rate may therefore become relevant to:

investment analysis; capability planning; infrastructure management; technology assessment; portfolio management; operational planning; lifecycle analysis.

Development Continuity

Value Development may be:

continuous; periodic; episodic; interrupted; accelerating; decelerating; cyclical; conditional.

VDS does not assume that development follows a smooth upward trajectory.

A value-bearing object may develop, stabilize, decline temporarily, recover, and develop again.

The governance record should preserve those transitions rather than forcing them into a permanently positive narrative.

Development Reversibility

Value Development may be reversible.

A capability that has matured may later degrade.

An asset that has grown may later lose value.

A network effect may reverse.

A technology may become obsolete.

Therefore:

Past Value Development $\neq$ Permanent Value Preservation.

This creates the natural architectural relationship between:

Value Development Standard (VDS)

and

Value Degradation Standard (VDGS).

Development Dependency

Value Development may depend upon external or internal conditions.

Examples include:

capital availability; infrastructure; technology; knowledge; energy; market access; regulation; network participation; maintenance; human capability; computational resources; ecosystem conditions.

VDS may preserve these dependencies where they materially affect interpretation of the development.

It does not automatically govern the external domains themselves.

Development Attribution

Where multiple factors contribute to development, VDS should avoid unsupported single-cause attribution.

For example:

Enterprise Value Development

may result from:

technology improvement + market expansion + productivity gain + intellectual-property development + network effects.

The governed development may therefore be multi-causal.

External architectures or methodologies may determine detailed causal validity where required.

VFM® preserves what is materially relevant to understanding the value-development pathway.

Development and Cost

Value Development must not be assessed only through gross gain.

A development mechanism may create additional value while consuming substantial resources.

For example:

Value Gain: +CHF 10M

Development Cost: CHF 9M

and

Value Gain: +CHF 10M

Development Cost: CHF 2M

represent materially different economic conditions.

VDS governs Value Development itself.

Broader cost, efficiency, ROI, resource-consumption, or value-execution questions may require additional architectures or methodologies.

This boundary allows VFM® to identify development without pretending that all development is economically efficient.

Development and Beneficiary

Positive development must remain connected to the relevant beneficiary context.

A development may increase value for:

an owner; a user; an enterprise; a customer; an investor; a network; a public institution; a mission; society; another defined beneficiary.

A change beneficial to one actor may reduce value for another.

Therefore:

Value Development is beneficiary-contextual where the Value Context requires it.

Development and Time Horizon

Development may have different meaning across different time horizons.

A short-term intervention may increase immediate value while weakening long-term developmental capacity.

Conversely, an investment may reduce short-term available value while materially strengthening long-term capability.

VDS therefore supports:

Short-Term Development

Medium-Term Development

Long-Term Development

where such distinctions are materially relevant.

Development State Relationship

VDS operates in close relationship with the Value State Standard (VSS).

The lifecycle may be represented as:

Value State A → Value Development → Value State B

VSS determines the governed Value State.

VDS determines the positive developmental relationship between relevant states.

Therefore:

Value State $\neq$ Value Development.

Development Change Relationship

VCS may identify that value has materially changed.

VDS may subsequently characterize that change as part of a positive developmental pathway where the required conditions are satisfied.

The relationship is:

Material Value Change

→ Development Qualification

→ Governed Value Development

This prevents every positive Value Change from automatically becoming developmental progress.

Development Record

Material Value Development should remain reconstructable.

A development record may preserve:

Value Context; value-bearing object; prior Value State; development type; growth basis; maturation basis; compounding relationship; development magnitude; development rate; relevant period; beneficiary; material dependencies; uncertainty; resulting Value State; record version.

This enables organizations to reconstruct not merely:

how much value exists,

but:

how existing value developed over time.

Development History

Multiple development records may create a governed Value Development history.

For example:

Initial Existing Value → Capability Growth → Operational Maturation → Productivity Development → Network Compounding → Current Developed Value State

This creates a developmental lifecycle rather than disconnected valuations.

Development $\neq$ Monetization

Value may develop without becoming monetized.

An invention may increase in technical maturity before generating revenue.

Infrastructure may gain operational capability before producing direct financial return.

Scientific knowledge may develop substantially without a market price.

A mission capability may increase without being monetizable at all.

Therefore:

Value Development $\neq$ Monetization.

This distinction is important for later VFM® mechanisms governing monetization, de-monetization, and re-monetization.

Development $\neq$ Market Appreciation

Market appreciation may accompany Value Development.

But the two are not identical.

A market price may increase because of:

speculation; scarcity; sentiment; monetary conditions; external demand; temporary imbalance.

Those conditions may change market value without demonstrating developmental improvement in the underlying value-bearing object.

Therefore:

Market Appreciation $\neq$ Value Development by default.

Development $\neq$ Ownership

VDS does not determine who owns developed value.

Ownership, identity, authority, provenance, transfer, or permission may require governance through OBIDENITY® or another appropriate architecture.

VDS governs the development of value itself.

Development $\neq$ Validation

A Value Development determination does not establish that every claim concerning that value is validated.

Where validation is required, VALIDOS® governs the validation lifecycle.

Therefore:

Value Development Determination $\neq$ Validation Determination.

Development $\neq$ Integrity

VDS does not replace general integrity governance.

Where the integrity of the value-bearing object, development evidence, process, or record requires governance, INTEGROS® remains the relevant architecture.

Development $\neq$ Audit

VDS does not determine whether development evidence is independently auditable or whether an audit conclusion may be issued.

ADIT® may govern relevant auditability and evidential examination.

Enterprise Application

VDS enables organizations to answer a question that conventional valuation frequently leaves unresolved:

Why is this value greater, stronger, more mature, or more productive than it was before?

It may support:

enterprise value-development analysis; banking and collateral monitoring; investment portfolio analysis; technology maturity assessment; intellectual-property development; infrastructure lifecycle management; AI capability development; industrial productivity analysis; digital-asset ecosystems; network-value development; strategic capability assessment; public infrastructure development; scientific capability development; mission-value development.

The Standard can therefore distinguish between:

value that merely moved

and

value that genuinely developed.

Foundational Principles

Creation of value is not the same as development of existing value.

Value Emergence $\neq$ Value Development.

Value Change $\neq$ Value Development.

Numerical increase $\neq$ Development.

Market appreciation $\neq$ Development by default.

Development may occur through growth, maturation, compounding, strengthening, or other legitimate positive developmental forms.

Development does not require monetization.

Growth is not the only form of development.

Repeated growth does not automatically establish compounding.

Development may be multi-dimensional.

Development must remain connected to a governed Value Context and reference basis.

Past development does not guarantee future preservation.

Existing value may develop, stabilize, degrade, recover, and develop again across its lifecycle.

Canonical Closing Statement

Value Development Standard establishes the positive-development governance layer of VFM® — Value Flow Mechanisms Architecture by governing how existing value increases, strengthens, matures, compounds, expands in capability, or otherwise develops over time after value has already emerged. By separating Value Development from Value Emergence, ordinary Value Change, market appreciation, monetization, ownership, validation, integrity, and auditability, VDS prevents positive movement from being automatically interpreted as genuine developmental progress. Through governance of development identification, growth, maturation, compounding, baselines, magnitude, rate, continuity, dependency, beneficiary context, temporal horizon, state relationships, and development history, VDS creates a structured basis for understanding not merely whether value has increased, but how existing value has become more developed. The Standard therefore establishes the positive developmental pathway through which VFM® can trace value from an existing governed state into a stronger, more mature, more capable, or compounded

value condition while preserving the context and lifecycle relationships necessary to distinguish genuine development from simple change.

Nahlad

Value Development Standard (VDS)

Architecture: VFM® — Value Flow Mechanisms Architecture · Category: Governance & Enforcement · Subcategory: Value Lifecycle Governance Canonical Definition: Value Development Standard governs how existing value increases, strengthens, matures, compounds, or otherwise develops over time after value has already emerged. Governed Space: Value Development Existing value becomes governably developed only when its positive progression can be distinguished from initial value emergence, ordinary value change, temporary appreciation, and unsupported assumptions of growth. → [View Standard](#)

[About standard](#)

Module Architecture

→ [Value Development Identification Module \(VDIM\)](#)

→ [Value Growth Module \(VDGM\)](#)

→ [Value Maturation Module \(VDMM\)](#)

→ [Value Compounding Module \(VDCM\)](#)

→ [Value Development Record Module \(VDRM\)](#)

Related Documents

→ [About Value Development Standard \(VDS\)](#)

→ [VFM® — Value Flow Mechanisms Architecture](#)

OOF® MIP® Protection Notice

OOF® · Protected under MIP® — Methodological Intellectual Property

Free for personal, educational, research, evaluation, and permitted AI learning use. Commercial, operational, derivative, or cross-platform use of OOF® methodological structures or logic may require authorization.

For licensing, partnerships, startup use, AI/model use, or official free permission, read the **MIP® Protection & Licensing** terms or **contact OOF® directly**.

Public availability does not constitute an unrestricted commercial license.

Active Protection & Compatibility Detection applies.

Canonical Source

<https://originopenfoundation.org/>